

Stereo. H C J D A 38.
JUDGMENT SHEET
THE LAHORE HIGH COURT, LAHORE
JUDICIAL DEPARTMENT

R.F.A. No. 34392 of 2023

Nasir Mehmood Wattoo Versus Muhammad Naeem, etc.

J U D G M E N T

Date of Hearing	17.03.2026
For Appellant:	Mian Subah Sadiq Klasson, Advocate along with appellant in person.
For Respondents:	Rana Ijaz Ahmad, Advocate for respondent No.1. M/s. Zafar Iqbal and Rana Javed Iqbal, Advocates for respondents No.2 and 3.

C.M. No.3 of 2023 & Main case

Hassan Nawaz Makhdoom, J.- The appellant, through the instant Regular First Appeal filed under Section 22 of the Financial Institutions (Recovery of Finances) Ordinance, 2001, has called in question the judgment and decree dated 05.04.2023 passed by the learned Banking Court, Sahiwal Camp at Okara, whereby the suit of respondent No.1 was decreed against respondents No.2 and 3 and the application of the present appellant under Order I Rule 10 CPC for impleading him as party in the suit was dismissed for non-prosecution.

2. Briefly the facts are that, respondent No.1 instituted a declaratory suit before the learned Banking Court against respondents No.2 and 3 (*the Bank and its officials*) concerning the subject matter of a gold loan transaction. During pendency of the said suit, the present appellant, claiming to be an aggrieved person having a direct and substantial interest in the *lis*, filed an application under Order I Rule 10 CPC seeking his impleadment as a party to the proceedings. The appellant asserted that the outcome of the suit would directly affect his rights in respect of the pledged gold ornaments and the underlying transaction. However, the said application was dismissed for non-prosecution, and simultaneously the learned Banking Court proceeded to decree the suit of respondent No.1 vide judgment and decree dated 05.04.2023. Feeling aggrieved, the appellant has preferred the instant

appeal accompanied by an application (CM No.3 of 2023) under section 5 of the Limitation Act, 1908 (the **Act**) seeking condonation of delay.

3. Learned counsel for the appellant submits that the appellant has been condemned unheard, as his application for impleadment was not decided on merits. It is contended that the decree has been passed in a collusive manner which directly affects the valuable rights of the appellant; therefore, the same is liable to be set aside. With regard to limitation, it is argued that initially a Civil Revision was filed within time; however, upon objection raised by the office, the same was converted into a Regular First Appeal and was refiled, resulting in a delay of only two days, which deserves to be condoned in the interest of justice.

4. Conversely, learned counsels for the respondents have opposed the application as well as the appeal. It is contended that the appellant has no *locus standi*, as he was neither a party to the suit nor was his application for impleadment pursued diligently, having been dismissed for non-prosecution. It is further argued that the appellant cannot be permitted to indirectly challenge a decree passed between the parties to the suit. With regard to limitation, it is submitted that the appellant knowingly adopted a wrong remedy and has failed to furnish any sufficient cause for condonation of delay. It is, thus, prayed that the application and the appeal be dismissed.

5. We have heard the learned counsel for the parties and have gone through the record with their able assistance.

6. The foremost question relates to limitation. The impugned judgment was rendered on 05.04.2023. The appellant applied for certified copy on 14.04.2023, which was supplied on 19.04.2023, and the said period is liable to be excluded. A perusal of the record as well as paragraph No.1 of C.M. No. 3 of 2023 reveals that the appellant initially instituted a Civil Revision on 13.05.2023; however, even at that stage, after accounting for the excluded period, the matter had already become time-barred by **two days**. Subsequently, upon

objection by the office, the appellant converted the said proceedings into a Regular First Appeal and refiled the same on 22.05.2023. By that time, the delay had further accumulated, rendering the appeal barred by **eleven days** beyond the 30 days prescribed period of limitation.

7. The explanation so furnished does not constitute a “sufficient cause” within the meaning of Section 5 of the Act. The appellant, being represented by a learned counsel, was expected to avail the correct statutory remedy in the first instance. The choice of an incorrect remedy and its subsequent conversion is a matter of due diligence, and the consequences thereof cannot be shifted upon the Court by invoking equitable jurisdiction. The explanation remains general in nature and does not satisfactorily account for the delay. In this regard, reliance is placed upon the judgment of the Honourable Supreme Court of Pakistan reported as Khushi Muhammad through legal heirs vs. Mst. Fazal Bibi and others (PLD 2016 SC 872), wherein it has been categorically held that the rigours of limitation cannot be diluted on equitable considerations. The Honourable Supreme Court observed that “*the hurdles of limitation cannot be crossed under the guise of any hardships or imagined inherent discretionary jurisdiction of the Court. Ignorance, negligence, mistake or hardship does not save limitation, nor does poverty of the parties.*” The ratio of the said judgment squarely applies to the facts of the present case, as the appellant has sought indulgence on grounds which are neither legally sustainable nor constitute “sufficient cause” within the contemplation of Section 5 of the Limitation Act.

8. It is by now a settled proposition of law that the burden squarely rests upon the party seeking condonation to explain each day of delay through cogent, plausible and legally sustainable reasons, as the valuable rights accruing to the opposite party by efflux of time cannot be lightly brushed aside. The concept of “sufficient cause” is to be construed strictly and does not extend to cover negligence, inaction or lack of due diligence. In this context, reliance is placed on the judgment cited as Mst. Khadija Begum and 2 others v. Mst. Yasmeen and 4 others (PLD 2001 SC 355), wherein the Honourable Supreme

Court authoritatively held that “sufficient cause” implies circumstances beyond the control of the party concerned, and that an act cannot be regarded as done in good faith unless it is performed with due care and attention. In the present case, the appellant has failed to bring on record any such compelling or unavoidable circumstance, rather the delay appears to be the result of lack of due diligence, which does not warrant the exercise of discretionary jurisdiction in his favour. Reference can also be made to the judgments reported as, Muhammad Islam v. Inspector-General of Police (2011 SCMR 8), Abdul Sattar v. Federation of Pakistan (2013 SCMR 911), Ghulam Qadir v. Abdul Wadood (PLD 2016 SC 712), and Asad Ali v. Bank of Punjab (PLD 2020 SC 736).

9. Even otherwise, on merits, the appellant has not been able to make out a case warranting interference. Admittedly, his application under Order I Rule 10 CPC was dismissed for non-prosecution, which clearly reflects a lack of due diligence and seriousness in pursuing his remedy before the learned trial Court. Having failed to avail the opportunity at the appropriate stage, the appellant cannot now be permitted to indirectly assail the impugned decree through the present proceedings. In this regard, reliance is placed upon Federation of Pakistan through Secretary, Cabinet Division, Islamabad and others v. Mian Muhammad Shahbaz Sharif and others (PLD 2009 SC 237), wherein (paras 49-50) it has been held that a person against whom no relief has been granted and no adverse direction has been issued cannot be treated as an aggrieved party, and in the absence of any legal prejudice, no cause of action arises to challenge the judgment. The principle of locus standi is, thus, intrinsically linked with demonstrable grievance. Furthermore, it is well settled that the right of appeal is neither inherent nor automatic, but flows strictly from statutory provision. In Ibrahim v. Muhammad Hussain (PLD 1975 SC 457), the Honourable Supreme Court has unequivocally held that the right of appeal is a creature of statute and cannot be assumed in the absence of express legislative sanction. Consequently, the availability of appellate jurisdiction is confined to those, who are legally

recognized as aggrieved persons within the framework of the relevant statute. In the present case, the appellant, having failed to establish any direct legal grievance arising from the impugned judgment, and having neglected to pursue his impleadment before the trial Court, does not fall within the category of persons entitled to invoke appellate jurisdiction.

10. For what has been discussed above, C.M. No. 3 of 2023 is dismissed for want of sufficient cause.

11. As a necessary consequence thereof, the main appeal, being barred by limitation and otherwise not maintainable, is also dismissed.

(Khalid Ishaq)
Judge

(Hassan Nawaz Makhdoom)
Judge

APPROVED FOR REPORTING

JUDGE

JUDGE

Iqbal